

Weekly Market View

Will earnings resolve the bond-equity split?

→ Bond and equity market volatility has sharply diverged. Elevated bond volatility and political risks in the US and Europe warrant near-term caution, prompting us to lock in tactical gains in semiconductors and Taiwan equities.

→ Our quantitative stock-bond model turned negative for the first time since March 2025, signalling near-term equity volatility. We stay invested in a diversified allocation slightly overweight equities and prefer to navigate the upcoming results and macro events before adding back high-beta exposure within equities.

→ Consensus estimates point to a 31% y/y rise in S&P500 Q3 earnings, driven by technology-sector earnings growth of 67%. Earnings have beaten lofty estimates in H1 as the AI build-out exceeds expectations. This favours tech-led equities in the medium term.

→ In Europe, French political and fiscal risks cloud the EUR outlook, but regional bank equities remain attractive on robust profitability, capital strength and valuations.

What are the market implications of France's political and fiscal uncertainty?

What is your outlook for the US Q3 earnings season?

Do you see further upside for USD/JPY?

Charts of the week: Diverging volatility

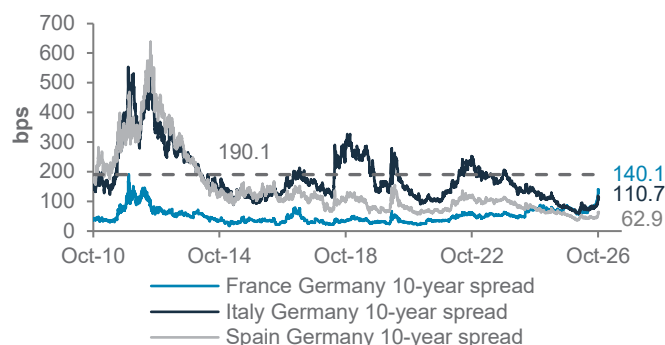
Strong earnings should resolve the bond and equity market divergence; French political risks remain largely contained

S&P500 volatility index (VIX); US bond volatility index (MOVE)*



Source: Bloomberg, Standard Chartered; *measures US government bond volatility

10-year government bond yield spreads over German bonds



Editorial

Will earnings resolve the bond-equity split?

Strategy summary: Bond and equity market volatility has sharply diverged. Elevated bond volatility and political risks in the US and Europe warrant near-term caution, prompting us to lock in tactical gains in semiconductors and Taiwan equities. Our quantitative stock-bond model turned negative for the first time since March 2025, signalling near-term equity volatility. We stay invested in a diversified allocation slightly overweight equities and prefer to navigate the upcoming results and macro events before adding high-beta exposure within equities.

Consensus estimates point to a c. 31% y/y rise in S&P500 Q3 earnings, driven by technology-sector earnings growth of c. 67%. Earnings have beaten lofty estimates in H1 as the AI build-out exceeds expectations. This favours tech-led equities in the medium term. In Europe, French political and fiscal risks cloud the EUR outlook, but regional bank equities remain attractive on robust profitability, capital strength and valuations.

Divergence between equities and bonds. Equity markets signal calm, with the S&P500 index near record highs and its volatility index (VIX) low at 15, while the US government bond volatility index (MOVE) is close to its highest since March. Bond stress reflects two-decade-high long yields amid strong growth, oil close to USD 100/bbl fuelling near-term inflation, fiscal uncertainty and crowded investor short positioning vulnerable to abrupt unwinds. High bond volatility could spill into equities.

Our quantitative stock-bond model turns negative. For the first time since March 2025, the model score has turned negative, driven by deteriorating equity market breadth and above-average risk aversion. History shows global equity volatility rises most in the month after the score dips to -1. However, equities still outperformed bonds over the following 1-12 months, on average, despite higher market risk.

Taking some chips off the table; locking in gains: Rising bond volatility, the negative stock-bond model signal, weak equity breadth and approaching US mid-term elections warrant near-term caution. US small-caps remain about 9% below August's all-time highs even as large-caps reach new records.

The macro uncertainty prompted us to lock in gains in semiconductor and Taiwan equity opportunistic ideas.

Strong Q3 earnings season likely to overcome near-term challenges. Strong US and Asian earnings should ultimately resolve the equity-bond divergence in favour of stocks. Consensus S&P500 Q3 earnings growth has risen to 30.6% y/y, while technology is tracking 66.5%, driven by the AI infrastructure buildout. AI investment plans, monetisation and funding needs are key metrics to watch. Record memory-chip profits and higher long-term targets from AI leaders support staying long technology-led risk assets and using near-term volatility to scale into preferred sectors. Also, US equities have historically performed strongly in the 12 months after mid-term elections, particularly when the opposition regains control of the House and the Senate – as seems increasingly likely.

Medium-term constructive on equities. Beyond Q3 earnings, we expect US earnings to rise 15-20% next year. Almost half of the estimated USD 420 per share of S&P500 earnings in 2027 should come from tech-related sectors: information technology, communication services and consumer discretionary. We also favour US, Europe and Japan financial sectors as solid growth and higher rates lift lending income, while the AI buildout boosts advisory fees from IPOs and M&As. However, another 30-50bps rise in long-term bond yields, without earnings growth upgrades, could be a headwind for equities. Next week's US inflation data for September is the next catalyst for bond yields.

French uncertainty challenges near-term EUR view; continue to see opportunities in Euro area bank equities. Rising French political and fiscal risks have largely remained confined to France, with its bond yield spread versus German peers surging to the widest since the 2011-12 Euro area crisis. Nevertheless, EUR/USD has fallen around 4% since mid-August, and our three-month forecast of 1.15 is under review. Tighter financial conditions and political uncertainty in France and Spain raises the risk of an ECB rate hold. Euro area bank equities remain attractive on profitability, capital strength and valuations, subject to sovereign-spread and funding-cost risks.

— **Rajat Bhattacharya and Sundeep Gantori**

The weekly macro balance sheet

Our weekly net assessment: On balance, we see the past week's data and policy as negative for risk assets in the near-term

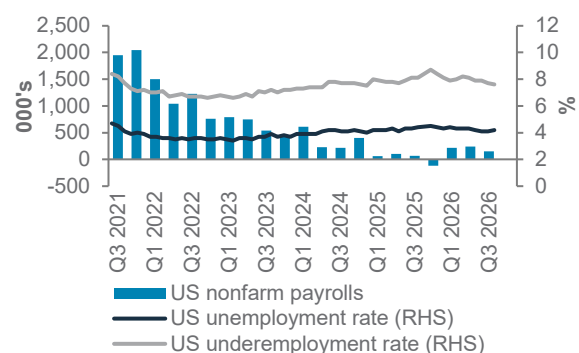
(+) factors: Cooling US payrolls eased Fed hike concerns

(-) factors: Re-accelerating Euro area inflation; France's fiscal crisis

	Positive for risk assets	Negative for risk assets
Macro data	US non-farm payrolls rose 29,000 in September, significantly missing estimates and easing Fed hike expectations	- US ISM services PMI missed estimates in Sept - Euro area's September headline consumer inflation and August's headline producer price inflation rose unexpectedly - Euro area Sentix investor confidence fell more than expected to 2.7 in October - Euro area retail sales grew by 0.8% y/y in August, missing expectations
	Our assessment: Negative – Weaker-than-expected US services PMI, re-accelerating Euro area inflation	
Policy developments	- Fed's Bowman announced a major bank supervision overhaul that leans toward easing regulations - BoE survey data showed little evidence of second-round inflation effects from higher energy prices	- The Fed's September meeting minutes indicated most officials expect one more hike by year-end - RBI raised its policy rate by 25bps to 5.5%, delivering its first hike in four years
	Our assessment: Neutral – Potential US bank regulatory relaxation vs. Hawkish Fed minutes and an RBI rate hike	
Other developments		- Iran ramped up its strikes as energy flows approach pre-conflict levels - France's fiscal uncertainty led to weakening economic activity and surging French bond yield premia - EU planned import cap on Chinese hybrid vehicles; China warned EU that it has retaliatory measures
	Our assessment: Negative – Ongoing geopolitical tensions; France's fiscal crisis	

US non-farm payrolls came in below estimates in September and the unemployment rate rose, easing near-term Fed rate hike expectations

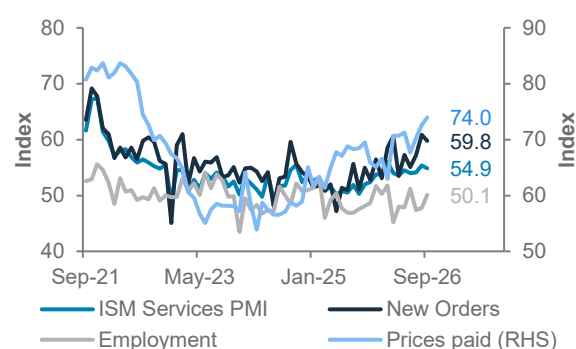
US non-farm payrolls (quarterly), unemployment rate and underemployment rate



Source: Bloomberg, Standard Chartered

US ISM services PMI fell unexpectedly in September, with prices paid PMI for inputs rising to 74.0 and new orders PMI missing expectations

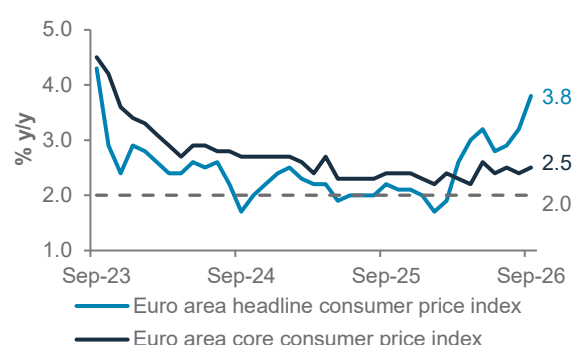
US services PMI and its components



Source: Bloomberg, Standard Chartered

Euro area headline consumer inflation rose to 3.8% in September, marking the fastest rate of inflation since September 2023

Euro area headline and core consumer price inflation



Source: Bloomberg, Standard Chartered

Top client questions

Q What are the market implications of France's political and fiscal uncertainty?

Our view: France's political and fiscal uncertainty remain near-term headwinds for European assets. We are placing our three-month EUR/USD forecast (1.15) under review for a potential downward adjustment, while retaining our 12-month forecast at 1.18 as broader Euro area spillovers remain limited. Our base case remains one more ECB hike in December followed by a prolonged pause, although tighter financial conditions increase the risk of a delay. For equities, we retain Euro area banks as an Opportunistic idea, supported by strong profitability, capital buffers and reasonable valuations. For bank bonds, we prefer a subordinated capital structure to senior debt.

Rationale: France's 10-year government bond yield has risen amid renewed political and fiscal concerns. This has tightened financial conditions and added to the near-term EUR risk premium. Together with elevated US yields, this raises downside risks to our three-month EUR/USD view. However, the stress has not yet developed into broad Euro area contagion, and recent expectations of progress on France's 2027 budget have provided some relief. Broader Euro area growth and labour market fundamentals also remain relatively resilient, supporting our unchanged 12-month EUR/USD view.

For the ECB, higher sovereign yields are already delivering some monetary tightening. Markets have consequently pared expectations of additional ECB hikes. We continue to expect one more hike in December, given elevated near-term inflation, but persistent fiscal or political stress in France and Spain could delay further tightening.

For Euro area banks, wider sovereign spreads are likely to raise funding costs and pressure bond portfolios, while fewer ECB hikes would moderate further gains in net interest income. Nevertheless, profitability remains strong, capital buffers are healthy and price-to-book valuations remain reasonable, with returns on equity also improving. We, therefore, maintain Euro area banks as an Opportunistic idea, while monitoring sovereign spreads, funding costs and any deterioration in loan-loss provisions.

On the bond side, European bank junior subordinated bond prices fell by an average of 3-5 cash points before rebounding, with French bank subordinated bonds underperforming those of other European peers. As fundamentals remain strong, we view pullbacks as opportunities to add and maintain our preference for a subordinated capital structure over senior debt for European bank bonds.

— Vincent Tan, Senior Investment Strategist
— Fook Hien Yap, Senior Investment Strategist
Ray Heung, Senior Investment Strategist

France's fiscal concerns weigh on the EUR

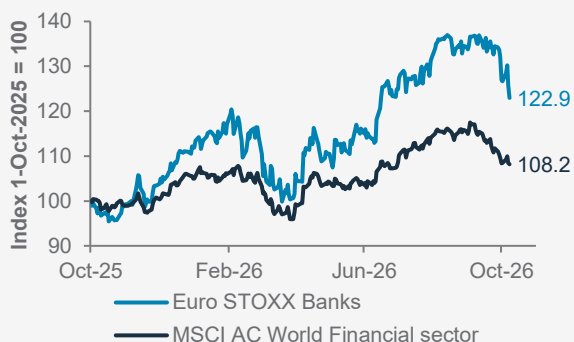
EUR/USD vs. France-Germany 10Y government bond yield spread



Source: Bloomberg, Standard Chartered

We remain positive on Euro area banks – they outperformed global financials over the past year, but gave up some of their outperformance over the past month

Euro STOXX Banks and MSCI AC World Financials indices over the past year, rebased



Source: Bloomberg, Standard Chartered

Top client questions (cont'd)

Q What is the likelihood of elevated long-end government bond yields evolving into a systemic risk for the financial sector and public finances?

Our view: We believe systemic risk remains a tail risk rather than a base case in the near term. The probability would rise materially if rollover stress, foreign demand withdrawal and private credit deterioration occur in combination.

Rationale: Higher bond yields worsen fiscal deficits and drive higher issuance requirements, exerting further upward pressure on yields. The resulting tighter financial conditions weigh on economic growth. This feedback loop is most acute in Developed Markets (DMs) where debt burdens are already elevated. For instance, projected 2026 **debt-to-GDP ratios** stand at 204% for Japan, 138% for Italy, 126% for the US, 118% for France and 104% for the UK. Countries with shorter average debt maturities face the sharpest **near-term repricing risk** as maturing obligations are refinanced at current rates. Meanwhile, evidence suggests that a **positive equity-bond correlation increases the sensitivity of yields to bond supply**.

Taking the US as an example, there has been **no buyers' strike on US government bonds yet**, though foreign demand has softened, narrowing the margin of safety. The US government has shifted towards **shorter-dated issuance** to manage funding costs (reducing near-term expenses, but concentrating rollover risk). Economic resilience remains evident, underpinned by **corporate confidence in AI-driven investment**. The key question is whether this expansion can persist long enough to stabilise the fiscal trajectory.

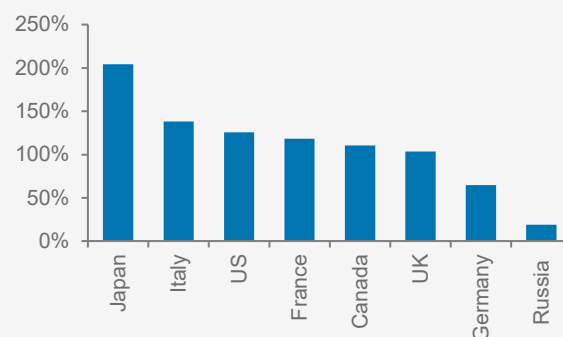
Within the financial sector, **corporate balance sheets remain strong**, while High-Yield (HY) bond and leveraged loan default rates remain contained, though this reflects the lag between rate rises and credit deterioration, not immunity. Following the failure of the Silicon Valley Bank, **liquidity discipline among banks has improved**, but duration mismatches persist.

In **private credit**, default rates are trending upward while the asset class has come under continued scrutiny, with negative headlines and a rise in redemptions triggering fund gating at some private credit managers since Q1 2026. Hence, continued monitoring of **default rates, redemptions and potential stress events** in private credit remains essential. That said, higher rates could buoy **medium-term returns** and **distribution yields** in the asset class, as the majority of direct lending loans have a floating-rate structure.

— **Ray Heung**, Senior Investment Strategist

Most G8 economies have government debt-to-GDP ratios exceeding 100%

Projected government debt-to-GDP ratios, 2026



Source: IMF, Standard Chartered

Top client questions (cont'd)

Q What is your outlook for the US Q3 2026 earnings season, especially for the banking sector?

Our view: We expect another quarter of robust US earnings growth to support our Overweight stance on US equities. We see major US banks, which begin reporting next week, also delivering healthy results, reinforcing our Overweight view on the US financial sector.

Rationale: Consensus forecasts **S&P500 Q3 earnings growth** of 30.6% y/y, up from 27.6% at the start of July. **Energy** is expected to post the strongest growth at 114.7%, supported by elevated oil prices amid ongoing geopolitical tensions. **Information technology** (66.5%) and **communication services** (49.0%) remain key earnings drivers, benefiting from sustained AI-related demand and investment. The broader outlook remains supportive, with **full-year earnings growth** projected at 35.8% in 2026 and 15.6% in 2027.

For banks, the recent underperformance amid concerns over higher long-term bond yields has, in our view, improved the forward-looking risk-reward profile. Over the medium term, **strengthening loan growth** and **resilient credit quality** should continue to support solid fundamentals. Capital markets activity also remains constructive, with industry leaders well-positioned to benefit from their strong investment banking and trading franchises.

— Jason Wong, Senior Equity Analyst

Q How could upcoming semiconductor manufacturing and equipment earnings reshape the AI capex outlook?

Our view: We maintain our AI capex outlook as robust demand and ongoing supply constraints support a multi-year expansion cycle. In the near term, however, we take a more prudent stance on semiconductors amid an expected rise in equity volatility.

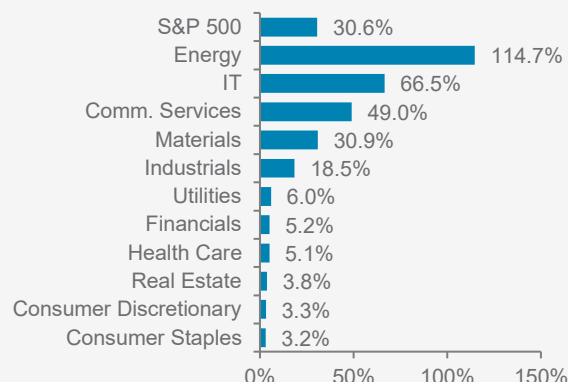
Rationale: Recent memory industry guidance points to **sustained investment in advanced chip manufacturing**, with customer commitments extending through 2031. Upcoming earnings should provide visibility into capacity expansion plans. This supports our AI capex outlook, which we will monitor through the earnings season.

That said, we expect **equity volatility to rise in the near term** amid elevated long-term yields and macroeconomic uncertainty. Recent media reports on AI lab revenues have also led to doubts over monetisation and the ability to sustain elevated capex spending. We thus took profit on our **Global Semiconductors** (8.1% return from 9-Sep-26 to 2-Oct-26) and **MSCI Taiwan** (10.0% return from 9-Jul-26 to 2-Oct-26) Opportunistic ideas following strong performance. This does not reflect a deterioration in fundamentals, but rather a need to be prudent on high-beta exposure. **We remain constructive on the AI theme over the long term.**

— Ryan Goh, Investment Strategist

Strong US earnings continue to provide support for US equities, with S&P500 estimated earnings growth of 30.6% y/y in Q3 2026

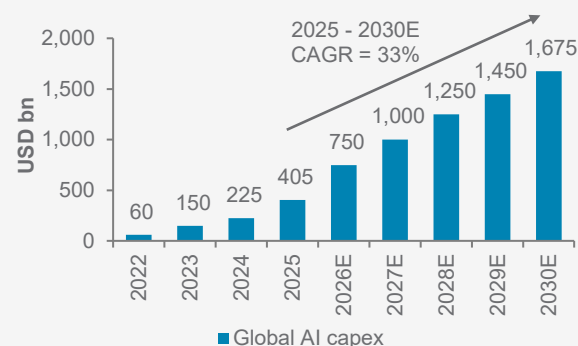
Consensus Q3 earnings growth by sector in the S&P500 Index



Source: LSEG I/B/E/S, Standard Chartered

The AI capital expenditure (capex) outlook remains firm, despite near-term market risks from macroeconomic headwinds

Global AI capex is projected to reach USD 1.7tn by 2030



Source: Company reports, Standard Chartered

Top client questions (cont'd)

Q USD/CHF has rebounded sharply over the past two months. What are the key factors behind the move, and do you see the currency pair continuing to move higher?

Our view: USD/CHF tested 0.84 amid strong momentum from the USD, but we see the pair remaining supported near-term before gradually moving lower towards 0.82 in three months.

Rationale: The Fed's relatively high policy rate continues to support USD carry demand, while the Swiss National Bank maintains its policy rate at 0%. In the near term, however, the Swiss franc (CHF) could benefit from **increased safe-haven demand amid mounting fiscal concerns in France and political uncertainty in Spain**, particularly if European risk premia continue to rise. Beyond these cyclical factors, Switzerland's substantial net foreign asset position, persistent current account surpluses and low public debt burden continue to underpin **the CHF's structural strength**. Over the medium term, **we expect the USD's rate advantage to gradually diminish** as the Fed approaches the end of its tightening cycle, while the CHF's defensive characteristics should remain supportive.

— Vincent Tan, Senior Investment Strategist

— Iris Yuen, Investment Strategist

Q Do you see further upside for USD/JPY after recent dovish comments from BoJ officials and latest bond auctions?

Our view: We see some near-term upside risk to USD/JPY from elevated US yields, but retain our medium-term constructive JPY view. USD/JPY remains below 159, suggesting markets are mindful of intervention risk as the pair approaches 160. We continue to expect further BoJ normalisation.

Rationale: Recent BoJ communication appears less dovish than the market narrative had suggested. BoJ Governor Ueda continues to emphasise **the need to anchor underlying inflation around 2%** and gradually reduce monetary accommodation, supporting our view that **the tightening cycle is not yet over**. An October pause would reflect a more measured pace of policy normalisation rather than a change in the BoJ's policy direction.

Recent **Japanese government bond (JGB) auctions** have shown resilient demand despite higher yields. At the latest 10-year JGB auction, **the bid-to-cover ratio improved** to 3.76x from 3.29x previously, while **the auction tail (spread between highest accepted yield and issued yield) narrowed** to 0.2bps from 1.6bps. We see this as indicative of an orderly, functioning market rather than a dovish BoJ signal. Intervention concerns around the 160 level should help limit near-term USD/JPY upside.

— Vincent Tan, Senior Investment Strategist

— Iris Yuen, Investment Strategist

USD/CHF gains driven by higher US bond yields are likely to be offset by CHF safe-haven demand

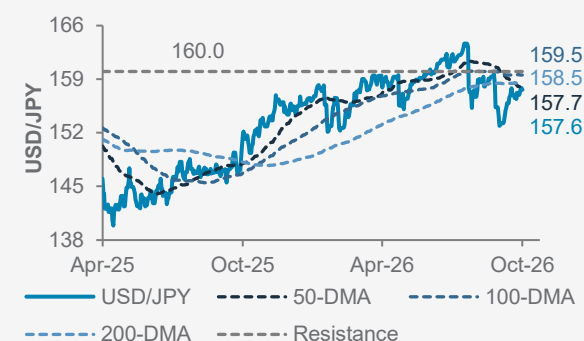
USD/CHF and technical indicators



Source: Bloomberg, Standard Chartered

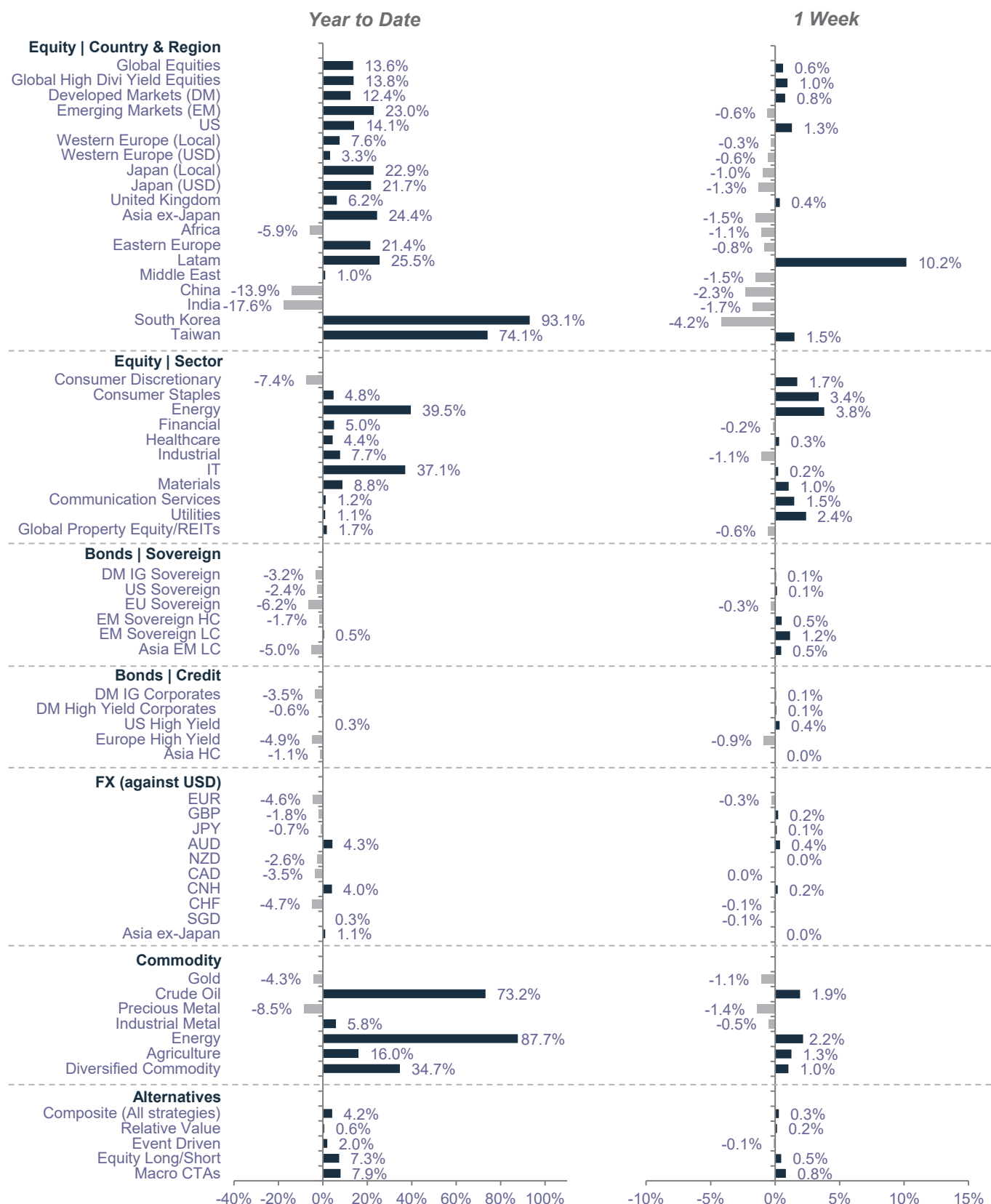
USD/JPY upside is likely capped around 160

USD/JPY and technical indicators



Source: Bloomberg, Standard Chartered

Market performance summary*



Sources: MSCI, JP Morgan, Barclays Capital, Citigroup, Dow Jones, HFRX, FTSE, Bloomberg, Standard Chartered

*Performance in USD terms unless otherwise stated, 2026 YTD performance from 31 December 2025 to 8 October 2026; 1-week period: 1 October 2026 to 8 October 2026

Our 12-month asset class views at a glance

Asset class	
Equities ▲	Preferred Sectors
US ▲	US Technology ▲
Europe ex-UK ◆	US Communication ▲
UK ▼	US Financials ▲
Asia ex-Japan ▲	US Materials ▲
Japan ◆	Europe ex-UK Financials ▲
Other EM ◆	Europe ex-UK Industrials ▲
	Japan Financials ▲
Bonds ◆	China Technology ▲
Credit	China Financials ▲
Asia USD ◆	China Communication ▲
Corp DM HY ◆	China Materials ▲
Govt EM USD ▲	China Healthcare ▲
Corp DM IG ◆	
Govt	Alternatives ◆
Govt EM Local ◆	
Govt DM IG ▼	Gold ▲

Source: Standard Chartered Global Investment Committee

Legend: ▲ Most preferred | ▼ Less preferred | ◆ Core holding

The S&P500 has next interim resistance at 7,904

Technical indicators for key markets as of 8 Oct close

Index	Spot	1st support	1st resis- tance	12m forward P/E (x)	12m forward dividend yield (%)
S&P500	7,765	7,567	7,904	19.1	1.2
STOXX 50	6,127	6,006	6,332	14.4	3.3
FTSE 100	10,442	10,256	10,739	12.0	3.7
TOPIX	4,091	3,972	4,206	16.0	2.3
Shanghai Comp	3,812	3,749	3,921	12.4	3.1
Hang Seng	23,786	23,217	24,875	9.9	3.6
Nifty 50	22,232	21,688	23,267	16.5	1.9
MSCI Asia ex-Japan	1,120	1,092	1,160	9.8	2.5
MSCI EM	1,699	1,660	1,754	9.6	2.9
Crude oil (WTI)	91.5	83.3	103.2	na	na
Gold	4,133	3,985	4,361	na	na
UST 10Y Yield	5.23	4.87	5.47	na	na

Source: Bloomberg, Standard Chartered

Note: These short-term technical levels are based on models and may differ from a more qualitative analysis provided in other pages

Economic and market calendar

	Market Event	Period Expected	Prior
MON			
TUE	AUD RBA Minutes of Sept. Policy Meeting	–	–
	USD NFIB Small Business Optimism	Sep	98.0 98.7
	USD Existing Home Sales	Sep	3.96m 3.98m
WED	CNH PPI y/y	Sep	4.4% 3.8%
	CNH CPI y/y	Sep	1.0% 0.8%
	USD CPI y/y	Sep	3.6% 3.4%
	USD Core CPI y/y	Sep	2.5% 2.4%
	CNH Exports y/y	Sep	25.5% 25.0%
	CNH Imports y/y	Sep	23.1% 28.2%
	CNH Trade Balance	Sep	\$118.3b \$119.1b
THU	USD Fed Releases Beige Book	–	–
	USD Retail Sales Control Group	Sep	0.3% 1.4%
	USD Empire Manufacturing	Oct	– 7.6
	USD Philadelphia Fed Business Outlook	Oct	30.9 37.8
	USD PPI Final Demand y/y	Sep	– 5.4%
	USD PPI Ex food & energy y/y	Sep	– 4.6%
FRI/ SAT			

Source: Bloomberg, Standard Chartered

Prior data are for the preceding period unless otherwise indicated. Data are % change on previous period unless otherwise indicated

P - preliminary data, F - final data, sa - seasonally adjusted, y/y - year-on-year, m/m - month-on-month

Investor diversity has normalised across asset classes

Our proprietary market diversity indicators as of 8 Oct close

Level 1	Diversity	1-month trend	Fractal dimension
Global Bonds	●	↓	1.47
Global Equities	●	→	1.75
Gold	●	↑	2.38
Equity			
MSCI US	●	→	1.61
MSCI Europe	●	→	1.44
MSCI AC AXJ	●	↓	2.07
Fixed Income			
DM Corp Bond	●	↓	1.46
DM High Yield	●	→	1.48
EM USD	●	↓	1.41
EM Local	●	↑	1.78
Asia USD	●	↓	1.49
Currencies			
EUR/USD	●	↓	1.41

Source: Bloomberg, Standard Chartered; **Fractal dimensions below 1.25 indicate extremely low market diversity/high risk of a reversal**

Legend: ● High | ● Low to mid | ○ Critically low

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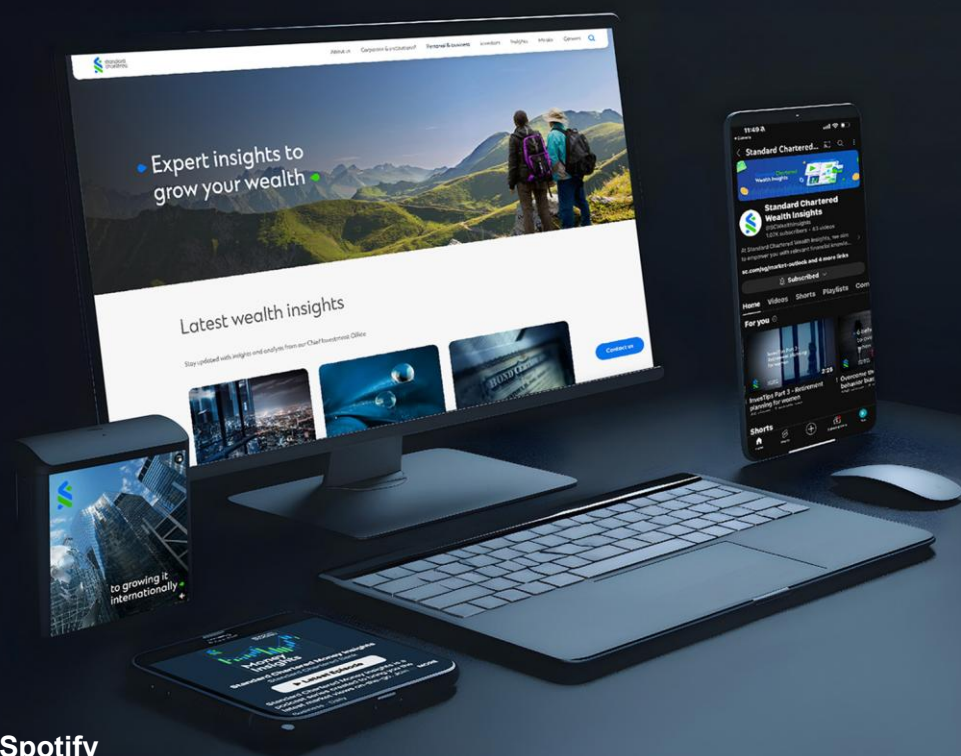
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